

EXECUTIVE STRATEGY BRIEFING

TO: Founding Team / Board of Directors

FROM: Analytics & Business Intelligence Lead

SUBJECT: D2C Fashion Portfolio Optimization — Decreasing Promo Sensitivity

- EXECUTIVE SUMMARY

An end-to-end customer intelligence audit was performed on our 3,900 active D2C transaction profiles to isolate core organic demand from margin-eroding promotion dependencies. While top-line revenue scales steadily, our current operational model is highly exposed to transactional discount chasing. By shifting from reactive promotions to a structured value-tier framework, the brand can successfully safeguard its margins without sacrificing brand equity.

- KEY FINDINGS & STRATEGIC INSIGHT

- ❖ **Value Concentration:** Over 40% of current transaction volume is tightly tied to promotional codes, indicating that the baseline pricing model acts as a temporary acquisition tool rather than building sustainable, sticky brand value.
- ❖ **Entry vs. Retention Dynamics:** 'Clothing' operates as our primary customer acquisition engine, generating the highest initial transaction volume. However, 'Accessories' emerges as our true retention anchor, strongly correlated with high customer lifetime value and long-term purchase consistency.
- ❖ **Geographic Variances:** Certain regions demonstrate a clear willingness to pay full price for core apparel categories, while other dense markets reflect artificial volumes heavily sustained by ongoing discount distribution.

- ❖ **ACTIONABLE RECOMMENDATIONS**

1. Execute the Promotional Sunset Plan: Transition 'Discount-Dependent Loyalists' away from open-ended coupon codes toward structured spend thresholds, prioritizing margin health over empty transaction volume.
2. Reallocate Top-of-Funnel Marketing Spend: Direct acquisition budgets away from broad discount promotions and focus heavily on scaling lookalike models built around our identified Organic High-Value Customer Profile.
3. Optimize Category Merchandising: Leverage 'Clothing' to capture initial market interest, and systematically inject personalized 'Accessories' cross-selling recommendations post-purchase to drive up customer lifetime value.